

LEGISLATURE OF THE STATE OF IDAHO
Sixty-eighth Legislature Second Regular Session - 2026

IN THE HOUSE OF REPRESENTATIVES

HOUSE BILL NO. 783

BY REVENUE AND TAXATION COMMITTEE

AN ACT

RELATING TO MEDICAL SAVINGS ACCOUNTS; AMENDING SECTION 63-3022K, IDAHO CODE, TO REVISE A DEFINITION AND TO MAKE TECHNICAL CORRECTIONS; AND PROVIDING AN EFFECTIVE DATE.

Be It Enacted by the Legislature of the State of Idaho:

SECTION 1. That Section 63-3022K, Idaho Code, be, and the same is hereby amended to read as follows:

63-3022K. MEDICAL SAVINGS ACCOUNT. (1) For taxable years commencing on and after January 1, 1995, annual contributions to a medical savings account not exceeding two thousand dollars (\$2,000) for the account holder and interest earned on a medical savings account shall be deducted from taxable income by the account holder, if such amount has not been previously deducted or excluded in arriving at taxable income. For married individuals, the maximum deduction shall be computed separately for each individual. Contributions to the account shall not exceed the amount deductible under this section.

(2) For taxable years beginning on or after January 1, 2014, the annual contributions to a medical savings account shall be limited to ten thousand dollars (\$10,000). Both interest earned and all contributions to medical savings accounts shall be deducted from taxable income by the account holder, if such amount has not been previously deducted or excluded in arriving at taxable income.

(3) For the purpose of this section, the following terms have the following meanings unless the context clearly denotes otherwise:

(a) "Account holder" means an individual, in the case of married individuals each spouse, including a self-employed person, on whose behalf the medical savings account is established.

(b) "Dependent" means a person for whom a deduction is permitted under section 151(b) or (c) of the Internal Revenue Code if a deduction for the person is claimed for that person on the account holder's Idaho income tax return.

(c) "Dependent child" means a child or grandchild of the account holder who is not a dependent if the account holder actually pays the eligible medical expenses of the child or grandchild and the child or grandchild is any of the following:

(i) Under twenty-one (21) years of age, ~~or enrolled as a full-time student at an accredited college or university;~~

(ii) Legally entitled to the provision of proper or necessary subsistence, education, medical care or other care necessary for his or her health, guidance or well-being and not otherwise emancipated, self-supporting, married or a member of the armed forces of the United States; ~~or~~

(iii) Mentally or physically incapacitated to the extent that he or she is not self-sufficient.

(d) "Depository" means a state or national bank, savings and loan association, credit union or trust company authorized to act as a fiduciary or an insurance administrator or insurance company authorized to do business in this state, a broker or investment advisor regulated by the department of finance, a broker or insurance agent regulated by the department of insurance or a health maintenance organization, fraternal benefit society, hospital and professional service corporation as defined in section 41-3403, Idaho Code, or nonprofit mutual insurer regulated under title 41, Idaho Code.

(e) "Eligible medical expense" means an expense paid by the taxpayer for medical care described in section 213(d) of the Internal Revenue Code, ~~and~~ long-term care expenses of the account holder, or expenses paid by the account holder as a member of a health care sharing ministry as defined in section 41-121, Idaho Code, and the spouse, dependents and dependent children of the account holder.

(f) "Long-term care expenses" means expenses incurred in providing custodial care in a nursing facility as defined in section 39-1301, Idaho Code, and for insurance premiums relating to long-term care insurance under chapter 46, title 41, Idaho Code.

(g) "Medical savings account" means an account established with a depository to pay the eligible medical expenses of the account holder and the dependents and dependent children of the account holder. Medical savings accounts shall carry the name of the account holder, a designated beneficiary or beneficiaries of the account holder and shall be designated by the depository as a "medical savings account."

(4) Upon agreement between an employer and employee, an employer may establish and contribute to the employee's medical savings account or contribute to an employee's existing medical savings account. For taxable years beginning on or after January 1, 1995, but before January 1, 2014, the total combined annual contributions by an employer and the account holder shall not exceed two thousand dollars (\$2,000) for the account holder. Employer contributions to an employee's medical savings account shall be owned by the employee.

(5) Funds held in a medical savings account may be withdrawn by the account holder at any time. Withdrawals for the purpose of paying eligible medical expenses shall not be subject to the tax imposed in this chapter. Funds held in a medical savings account must be exhausted before the account holder, the account holder's dependent or the account holder's dependent child receives any state assistance for medical care. The burden of proving that a withdrawal from a medical savings account was made for an eligible medical expense is ~~upon~~ on the account holder and not ~~upon~~ on the depository or the employer of the account holder. Other withdrawals shall be subject to the following restrictions and penalties:

(a) There shall be a distribution penalty for withdrawal of funds by the account holder for purposes other than the payment of eligible medical expenses. The penalty shall be ten percent (10%) of the amount of withdrawal from the account and, in addition, the amount withdrawn shall be subject to the tax imposed in this chapter. The direct transfer of funds

1 from a medical savings account to a medical savings account at a differ-
2 ent depository shall not be considered a withdrawal for purposes of this
3 section. Charges relating to the administration and maintenance of the
4 account by the depository are not withdrawals for purposes of this sec-
5 tion.

6 (b) After an account holder reaches fifty-nine and one-half (59 1/2)
7 years of age, withdrawals may be made for eligible medical expenses or
8 for any other reason without penalty, but subject to the tax imposed by
9 this section.

10 (c) Upon the death of an account holder, the account principal, as
11 well as any interest accumulated thereon, shall be distributed without
12 penalty to the designated beneficiary or beneficiaries.

13 (d) Funds withdrawn ~~which~~ that are later reimbursed shall be taxable
14 unless redeposited into the account within sixty (60) days of the reim-
15 bursement. Deposits of reimbursed eligible medical expenses shall not
16 be included in calculating the amount deductible.

17 (e) Funds deposited in a medical savings account ~~which~~ that are de-
18 posited in error or unintentionally and ~~which~~ that are withdrawn within
19 thirty (30) days of being deposited shall be treated as if the amounts
20 had not been deposited in the medical savings account. Funds withdrawn
21 from a medical savings account ~~which~~ that are withdrawn in error or un-
22 intentionally and ~~which~~ that are redeposited within thirty (30) days
23 of being withdrawn shall be treated as if the amounts had not been with-
24 drawn from the medical savings account.

25 (f) Funds withdrawn ~~which~~ that are, not later than the sixtieth day af-
26 ter the day of the withdrawal, deposited into another medical savings
27 account for the benefit of the same account holder are not a withdrawal
28 for purposes of this section and shall not be included in calculating
29 the amount deductible.

30 (6) Reporting. Depositories, in the case of medical savings accounts,
31 shall provide to the state tax commission, in the routine fashion used for
32 all interest-bearing accounts, the same information that is provided for
33 any interest-bearing bank account. So as to minimize the burden of report-
34 ing, the information shall be provided in the format in which information is
35 provided for any interest-bearing bank account to the state tax commission.
36 There shall be no other reporting requirements. Account holders shall pro-
37 vide on any state income tax form in which they take a deduction for a medical
38 savings account the account number of their medical savings account and the
39 depository at which the account is held.

40 (7) Any medical care savings account established pursuant to chapter
41 53, title 41, Idaho Code, as enacted by chapter 186, laws of 1994, may be con-
42 tinued pursuant to the provisions of this section and all duties, privileges
43 and liabilities imposed in this section upon account holders of medical care
44 savings accounts and the beneficiaries of those accounts shall apply to ac-
45 count holders of medical care savings accounts and their beneficiaries es-
46 tablished pursuant to chapter 53, title 41, Idaho Code, as enacted by chapter
47 186, laws of 1994, as if the medical care savings account were a medical sav-
48 ings account established pursuant to this section.

49 (8) (a) If the account holder's surviving spouse acquires the account
50 holder's interest in a medical savings account by reason of being the

1 designated beneficiary of such account at the death of the account
2 holder, the medical savings account shall be treated as if the spouse
3 were the account holder.

4 (b) If, by reason of the death of the account holder, any person ac-
5 quires the account holder's interest in a medical savings account in a
6 case to which subsection (8) (a) of this section does not apply:

7 (i) Such account shall cease to be a medical savings account as of
8 the date of death; and

9 (ii) An amount equal to the fair market value of the assets in such
10 account on such date shall be includable, if such person is not the
11 estate of such holder, in such person's Idaho taxable income for
12 the taxable year ~~which~~ that includes such date, or if such person
13 is the estate of such holder, in such holder's Idaho taxable income
14 for the last taxable year of such holder.

15 (c) The amount includable in Idaho taxable income under subsection
16 (8) (b) of this section by any person, other than the estate, shall be
17 reduced by the amount of qualified medical expenses ~~which~~ that were in-
18 curred by the decedent before the date of the decedent's death and paid
19 by such person within one (1) year after such date.

20 SECTION 2. This act shall be in full force and effect on and after Jan-
21 uary 1, 2027.